Research Briefing | Eurozone

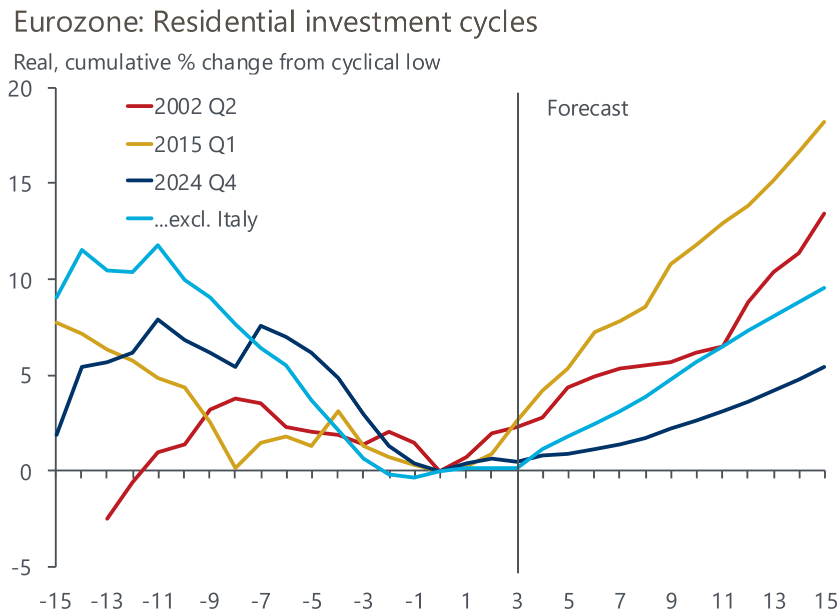
Housing recovery may disappoint as affordability worsens

- **We expect the housing recovery to fall short of past rebounds as deteriorating affordability curtails residential investment and transactions.**
- **The European Central Bank rate cuts offered a brief respite, but rising term premia have increasingly pushed mortgage rates up since last year. House prices are set to outpace income gains due to the underlying tightness of the housing market.**
- **In the near term, risks to residential construction look modestly skewed to the upside as past rate cuts and large gains in housing permits may feed through to investment and transactions. But labour shortages cap the scale of any upside surprise. Meanwhile, we think tightening financing conditions may weigh more than expected later this year and next.**
- **Countries with longer rate fixations, well-developed rental markets, and tighter market conditions such as Germany are more at risk of disappointment. France and Italy look better placed, although Italy will see a large drag from a government support scheme ending. Surging prices will be a major affordability drag in booming Spain.**

Similar to global dynamics, the housing recovery in the Eurozone has been mixed, at best. House prices have risen 10% over the past two years and already exceed the pre-rate hiking cycle peak by 7%. Housing transactions as well as mortgage loan demand have also rebounded. However, residential investment has remained flat for the past year or two, disappointing expectations of a policy-driven recovery.

There are more tangible signs that housing construction is set to pick up over the coming quarters as residential permits have accelerated and previously downbeat building construction surveys have recovered. We expect residential investment to grow a modest 0.7% this year and 1.5% next, after last year's 0.6% fall. Once we account for the policy-driven drag from Italy, where the end of the Superbonus scheme more than offsets any monetary policy impetus, things look more promising. Excluding Italy, investment could grow roughly twice as much, although even that would fall short of past recoveries in residential investment (**Chart 1**).

Chart 1: We expect a solid but unspectacular housing recovery



Sources: Oxford Economics, Haver Analytics

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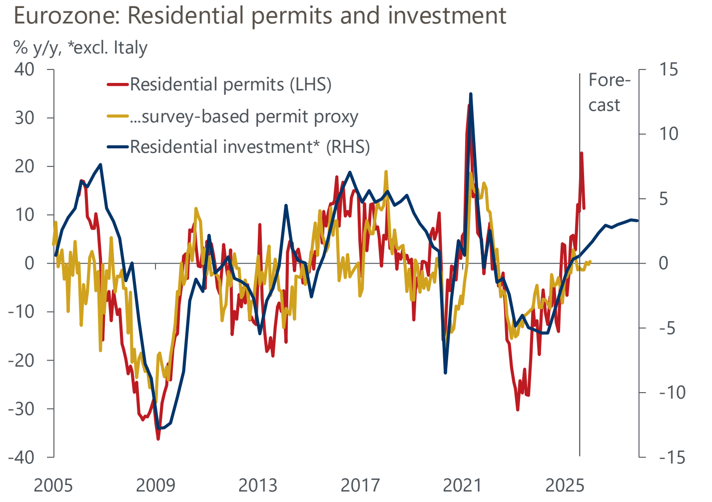
Near-term investment recovery faces upside risks

In the near term, risks are skewed to the upside. It typically takes a bit of time for monetary policy changes to fully pass through to housing investment and the European Central Bank only started easing its policy in December 2023. The turbulent news flow last year related to tariffs and the job insecurity it brought about for parts of the labour force may have exacerbated this by delaying some investment decisions. But surveys are showing a clear bounce in the share of consumers planning to buy or build a home this year. Moreover, the surge in residential permits of, at times, more than 20% y/y towards the end of last year would suggest a clear acceleration in residential investment is in the offing (**Chart 2**).

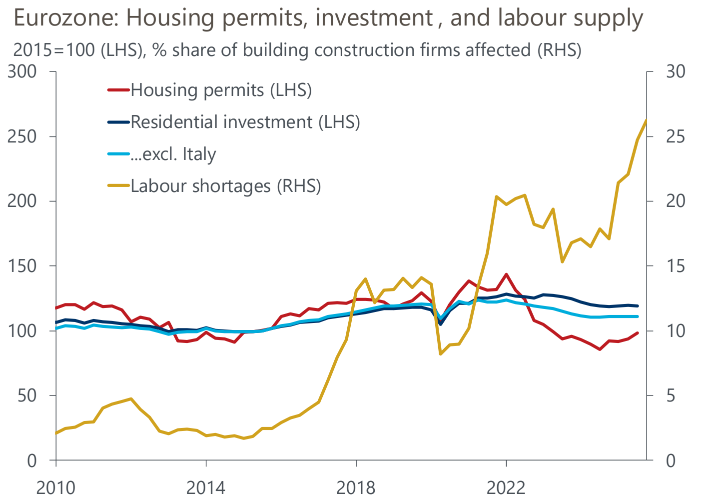
Chart 2: Permits signal near-term upside risks for investment, but surveys point to a slowdown



Sources: Oxford Economics, Haver Analytics

However, there are two reasons why we don't think that the upside risk is more than modest. First, much of the surge in permits is due to the low comparison base in late 2024. The momentum through last year was muted. Based on recent trends and available country-level data, we think permit growth slowed towards the low single-digits by the end of 2025. That would've brought data more in line with the muted signal of surveys (**Chart 2**). The second reason is that the building construction sector's response to the rise in housing demand will be hampered by supply constraints. Despite the drop in investment in 2022-2024, labour shortages have barely eased and have skyrocketed more recently in response to the only moderate bounce in permits. Meanwhile, investment hasn't picked up yet, an unusually slow response (**Chart 3**). This may just be because permits are not high enough yet, while firms are still working off backlogs.

Chart 3: Labour shortages soared after a modest rebound in permits, indicating clear supply constraints



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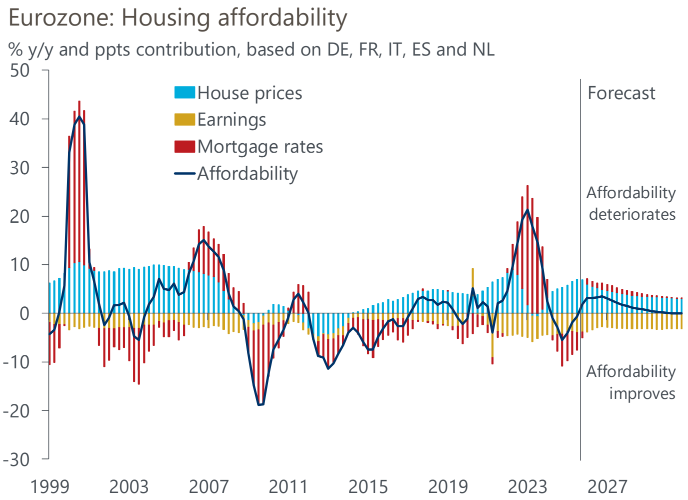
However, even if increases in housing demand were to convince construction firms to again hire more aggressively, possibly pushing up wages to overcome the stated labour shortages, the firms may struggle to do so. The reason is that related sectors such as civil engineering are likely more attractive given the broad-based rise in public investment across the region as well as Germany's planned, large-scale infrastructure spending. Both sectors will compete for capital, adding to the constraints. This caps the upside to construction from any demand recovery and implies continued upward pressure on prices given the underlying tightness in many housing markets across the region. These are exemplified by the quick house prices gains and the lacklustre supply response in the wake of the ECB policy easing.

Worsening affordability may be a larger-than-expected drag on the housing recovery

More worrisome, our new housing affordability indices indicate downside risks to the housing market and the expected investment pickup later in 2026 and 2027. The index follows a similar approach as in a research briefing on the UK housing market and effectively takes the monthly mortgage payment for a typical house or apartment bought on an average income as the yardstick, given that in most countries the majority of transactions are debt financed. Due to data availability, the headline index for the Eurozone is based on data for the Big Four economies plus the Netherlands – still a broad coverage.

Our indices indicate that affordability improved significantly until around early 2025 as the ECB rate cuts and falling mortgage rates more than offset the headwind from house price gains outpacing income gains. However, since then, affordability steadily deteriorated. We expect a significant worsening throughout this year before the underlying drivers begin to ease the deterioration (**Chart 4**).

Chart 4: Housing affordability likely to continue to deteriorate over the next few years



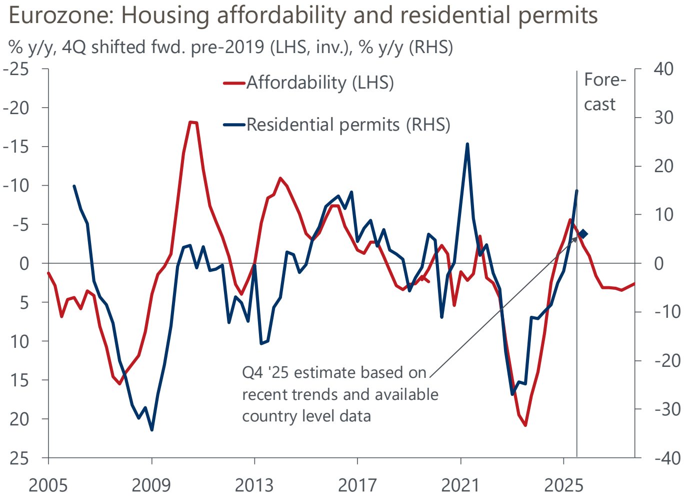
Sources: Oxford Economics, Haver Analytics

The shift from improving to deteriorating affordability was predominantly driven by mortgage rates. Over the course of 2025, the number of Eurozone countries experiencing rising mortgage rates gradually increased. This was because rising term premia pushed up banks' refinancing costs more than the offsetting policy rate cuts during H1 2025. Countries where households typically take out mortgages with long fixed-rate maturities, such as Germany, were affected the most. House price gains outpacing income and wage growth by 1ppt-2ppts last year also added to the affordability challenges for households.

Our baseline forecast indicates that both factors will continue to undermine affordability in the coming years, but the peak drag should be later this year. As for mortgage rates, this reflects our expectations that the ECB's ongoing balance sheet runoff and wide fiscal deficits will sustain upward pressure on long-term yields and feed through to them. Meanwhile, the expected rise in residential investment is too timid to swiftly dampen house price gains given the underlying tightness, while the expected job-poor recovery and below-target inflation will undermine wage and income growth.

The turnaround in our affordability index has correctly pinpointed the peak gains in residential permits (**Chart 5**), transactions (**Chart 6**), and mortgage loan demand in the ECB's bank lending survey. Our baseline forecasts that feed into the affordability index indicate that the slowdown of the housing market may have more room to run and that moderate falls in residential permits cannot be excluded. This marks a downside risk to our forecast for residential investment to pick up, although we imagine that existing backlogs of projects would dampen the feedthrough to activity.

Chart 5: Deteriorating affordability points to significant downside risks for housing activity

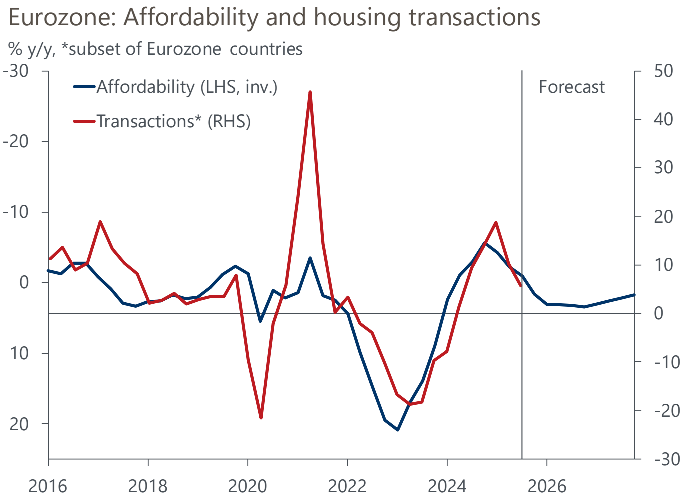


Sources: Oxford Economics, Haver Analytics

There are several uncertainties around the affordability outlook. Mortgage rates could rise less than expected, either because term premia rise less or because banks pass through less of the increase. But our bias would be to argue that risks to market rates are still a bit to the upside given the fiscal pressures around the world amid shrinking demand from rate-insensitive buyers of bonds, such as central banks.

Another risk is that real house prices rise less than expected because residential investment is more favourable. This could reflect more housing supply to the rental market from developers that may be less sensitive to interest rates than households. Alternatively, the drag from affordability on transactions may lessen upward pressure on prices. But we think the underlying tightness in many European housing markets is limiting these risks.

Chart 6: Housing transactions may flatline after the recent surge as affordability worsens

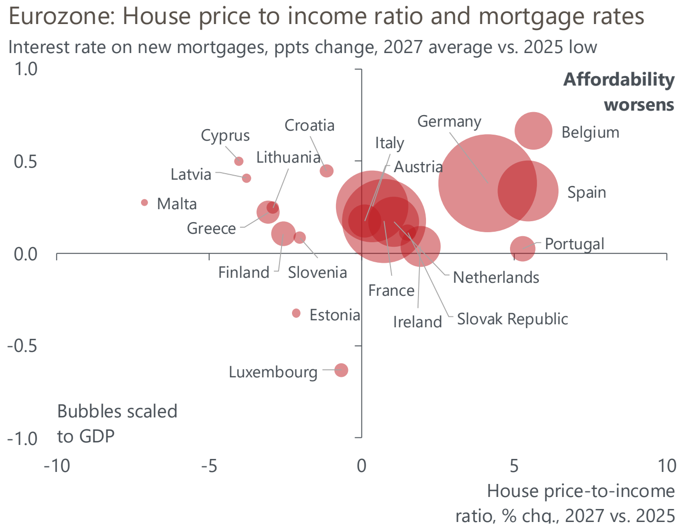


Sources: Oxford Economics, Haver Analytics

Policy interventions are another option. Housing is one of several areas where affordability concerns are building up pressure to act, as shown by recent Eurobarometer surveys; towards the end of last year, the EU unveiled its Affordable Housing Plan. However, we doubt that plausible policy initiatives would have a sizeable impact on underlying conditions this year or next given the supply constraints.

The deterioration in affordability is widespread across the Eurozone (**Chart 7**). We expect mortgage rates to go up in nearly all countries, except those that are dominated by floating rate mortgages and are still seeing some passthrough from past rate cuts. On the other end of the spectrum, Germany and Spain rely predominantly on mortgages with long rate fixations, so they're bearing the brunt of the rise in long-term interest rates. Alongside Belgium, these two countries are set to see house prices outpace incomes, adding additional drags on affordability. In Germany, it's more due to a lack of supply, while in Spain it's more because large inward migration keeps demand ahead of housing supply. In contrast, many smaller economies face more mixed affordability prospects as slowing house price gains may offset the rise in mortgage rates.

Chart 7: Widespread deterioration in affordability, but Germany, Spain, and Belgium stand out



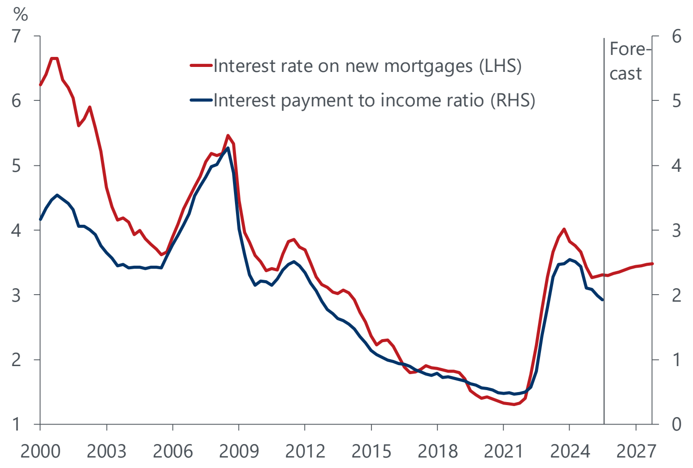
Sources: Oxford Economics, Haver Analytics

Admittedly, housing investment accounts for little more than 5% of Eurozone GDP, so modest downside or upside surprises relative to our baseline don't materially change the wider growth outlook. But our findings for housing affordability and investment reinforce our view that private investment is poised to disappoint expectations this year.

Deteriorating housing affordability may dampen wider consumer recovery

In some regards, our approach to quantify affordability is static. It could be that households will be willing to spend a significantly larger share of their incomes on mortgage payments than in the past. This could be because new buyers acknowledge that neither house prices nor interest rates are likely to come down. In turn, this could dampen the drag from affordability on the housing market. However, our measure has correlated well with housing activity over the last decade or so despite sharp swings in mortgage payments. Moreover, regulation and bank policies tend to enforce limits on how high mortgage payments can go relative to income to decrease odds of default or over-indebtedness.

Chart 8: Rising rates could weigh on wider consumer recovery

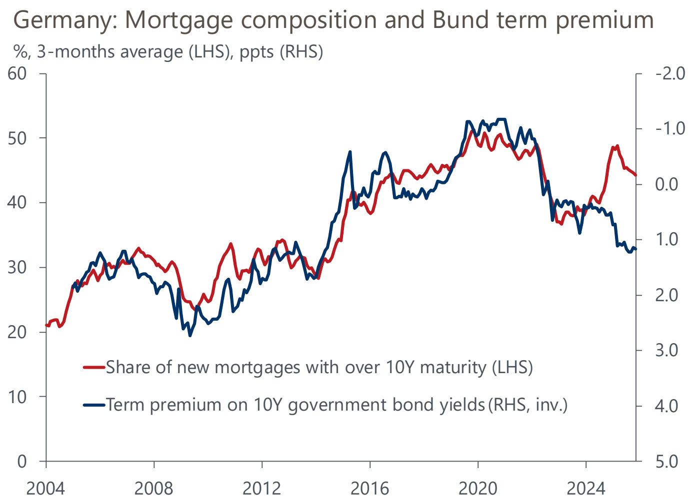


Sources: Oxford Economics, Haver Analytics

Even in our baseline, it seems likely that interest payments will stand for a somewhat larger share of households' incomes in the coming years as mortgage rates edge up and house prices rise (**Chart 8**). This may also entice households to pay down the loan more quickly, which will, at the margin, curtail consumption prospects.

A related behavioural adjustment would be for households to opt for mortgages with shorter rate fixations because they intend to pay the loan more quickly or because the risks of interest rates rising is seen as benign. Evidence of this in the data is limited partly because the bank and regulatory environment differ. But also because the availability of mortgage loans by rate fixation is scare. At least in Germany, there's clear evidence that the low-interest rate period ahead of the pandemic enticed borrowers to lengthen the loan maturities considerably (**Chart 9**). But this channel is unlikely to dramatically change the outcome for the housing market this year or next.

Chart 9: Households may shift to shorter loan maturities as term premia rise



Sources: Oxford Economics, Haver Analytics